



My mandate is to sustain the transformation at Britannia from a digital point of view. We must be innovative and provide value to the customer and employees"



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day, Britannia collects 70,000 litres of milk for its dairy business, and has a target to double that.

Berry is clear that he will do only value-added products and rules out anything that is commoditised, such as pouched milk. "It is not profit-accretive. In time, you will see a Greek yoghurt, a fresh lassi or even a *mishti doi*," he explains.

28 | The idea is to be flexible with strategy and that means working with a partner (like the croissant story) if that is advantageous. Last November, Britannia inked a joint venture with France's Bel SA to develop, manufacture (this will be in Ranjangaon) and market cheese products in India. The deal saw the French company, known for brands like Laughing Cow, Kiri and Nurishh, pick up 49 per cent in its arm Britannia Dairy for ₹262 crore. The deal will entail it infusing another ₹215 crore in the venture, which will eventually be called Britannia Bel Foods.

Cheese, says Berry, is at ₹3,000 crore (the dairy market in India stands at a mammoth ₹15 lakh crore today) but growing at over 20 per cent each year. "It is fair to say we now have more steel in the ground on our dairy business and can hit revenues of ₹2,000 crore. In fact, we now have a Laughing Cow and a Winkin' Cow," he quips.

K.S. Narayanan, a food and beverage industry veteran, says dairy is difficult simply because of the domination by cooperatives, most notably Amul. "To have an end-to-end operation in dairy requires substantial investment and commitment in developing the milk collection system in select geographies. Since this has not really materialised for Britannia, they are forced to operate in the higher value-added categories like cheese and milkshakes, which are much smaller."



"BRITANNIA WILL HAVE to get it right on salty snacks," is Berry's response when you ask him how critical the category is. Today, the presence is still limited and he candidly says it has not gone beyond the test marketing phase. The conundrum for a company like Britannia when it comes to snacks is to deal with high volumes and margins lower than what it is used to. Today, the organised market for salty snacks is around ₹40,000 crore, according to industry estimates, and expected to grow at 12-15 per cent over the next five years—clearly an opportunity that is too big to miss.

In about three years since its entry into this category, Britannia has a small portfolio (sold under the Time Pass brand as western salty snacks and with a revenue of ₹30-40 crore) and one gets the impression it has been conservative. "Maybe we have not been fast enough, but it takes time to build this business. It is a crowded space with almost no entry barriers," says Berry. With a capex of ₹2-3 crore, a snacks player can easily generate a turnover of ₹50 crore. Contrast that to croissants, where Britannia invested ₹120 crore and the maximum turnover will be ₹400 crore. According to him, international companies (the likes of PepsiCo) bring their experience from other countries, which includes potato farming apart from having well-known brands (Lay's and Doritos being examples).

In India, the salty snacks landscape is dominated by the likes of Haldiram's, Bikaji, and Prataap nationally, with thousands operating regionally or locally. Take the case of Rajkot-based Balaji Wafers, which had a turnover